

Appendix C

INDUSTRIAL INSURANCE – EXEMPTIONS BY STATE

Alabama	Louisiana	Oklahoma
Alaska	Maine	Oregon
Arizona	Maryland	Pennsylvania
Arkansas	Massachusetts	Puerto Rico
California	Michigan	Rhode Island
Colorado	Minnesota	South Carolina
Connecticut	Mississippi	South Dakota
Delaware	Missouri	Tennessee
District of Columbia	Montana	Texas
Florida	Nebraska	Utah
Georgia	Nevada	Vermont
Hawaii	New Hampshire	U.S. Virgin Islands
Idaho	New Jersey	Virginia
Illinois	New Mexico	Washington
Indiana	New York	West Virginia
Iowa	North Carolina	Wisconsin
Kansas	North Dakota	Wyoming
Kentucky	Ohio	

<i>State</i>	<i>Industrial Insured Statutory Requirements</i>	<i>Statutory Reference To Insurance Code</i>	<i>Statutory Reference To Exempt Commercial Purchaser</i>
Alabama	1) Insurance procured through a full-time insurance manager or buyer, or regularly and continuously retained qualified insurance consultant; 2) Minimum \$25,000 aggregate annual premiums on all risks other than workers' compensation and group insurance; and 3) Minimum 25 employees.	§27-10-20(2)	Not codified.
Alaska(1)	No		21.34.020(b), §21.34.900(6) Same as NRRRA Bulletin B 19-15 updates the amounts in subclauses (I), (II), and (IV) of clause (C) in 15 U.S.C.(5)(C)(ii)
Arizona	1) Insurance procured through	§20-401.07(C)	Arizona uses the term "industrial insured,"

qualified risk manager;
2) Minimum \$100,000 aggregate annual gross premiums for insurance on all property and casualty risks; and
2) Meets at least one of the following criteria:
a) Minimum \$20 million net worth;
b) Minimum \$50 million net revenues or sales;
c) Minimum 500 full-time employees per individual company or 1,000 full-time employees per holding company;
d) municipality with a minimum population of 50,000
e) nonprofit or public entity with a minimum \$30 million in

rather than “exempt commercial purchaser.”
Bulletin 2011-06 (June 28, 2011)

expenditures
 Qualified risk
 manager has the
 same definition as
 the NRRRA.
 Arizona's
 exemption for
 industrial insureds
 is the same
 exemption as
 under the NRRRA,
 Bulletin 2011-06
 (June 28, 2011).
 3% (annually). §20-
 401.07(A).

Arkansas(2)	1) Insurance §23-63- procured through 1601(12)-(16) a full-time risk manager or insurance manager or utilizes the services of a regularly and continuously qualified insurance consultant; 2) Minimum \$25,000 aggregate annual premiums for insurance on all	§23-65-30(5), §23-65- 305 Same as NRRRA. Subject to 2% tax (within 30 days after insurance procured, continued or renewed) (includes surplus lines insurance when procured without use of a surplus lines broker). §23-65-103(c).
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risks; and
3) Minimum 25
full-time
employees.
Subject to taxes
specific to
captives under
§23-63-1614.

California(3)

1) Employs at least CIC
25 employees on §1764.1(c)(1)
average during
the prior 12
months; and
2) Minimum
\$25,000
aggregate annual
premiums for
insurance on all
risks other than
workers'
compensation
and health
coverage; or
insurance
procured through
full-time
employee acting
as an insurance
manager or
“continuously
retained
insurance
consultant.”

California uses the term
“commercial insured”
rather than “exempt
commercial
purchaser” CIC 1760.1(b)
and 1763(h)

“Continuously retained insurance consultant” does not include:

- a) an agent or broker through whom the insurance is being placed;
- b) a subagent or subproducer involved in the transaction; or
- c) an agent or broker that is a business organization employing or contracting with any person mentioned in clauses (a) and (b).

Colorado

1) Insurance (excluding life and annuity contracts) procured through a full-time insurance manager or buyer, or regularly and continuously retained qualified	§10-3-910(2)	Not codified.
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insurance
consultant who
does not receive
commission or
compensation for
placing the risk;
2) Minimum
\$100,000
aggregate annual
premiums on all
risks; and
3) Minimum 100
full-time
employees.

1) Insurance
procured through
a full-time
insurance
manager or buyer,
or regularly and
continuously
retained qualified
insurance
consultant; and
2) Minimum
\$50,000
aggregate annual
premiums
(excluding life,
accident and
health insurance).

§38a-271(b)(6)

Conn. Gen. Stat. § 38a-
741(b)(2); Bulletin SL-2
(July 18, 2011)
Same as NRRA

Connecticut

Delaware(2)

1) Insurance
procured through

§6902(20)

§1914(b); Surplus Lines
Bulletin 14 (August 11,

a full-time insurance manager or buyer; and
 2) Minimum \$25,000 aggregate annual premiums for insurance on all risks; and
 3) Minimum 25 full-time employees.
 No information regarding taxes.
 Subject to taxes specific to captives under §6914.

2014)
 Same as NRRA
 Subject to 3% tax for new and renewal policies with an effective date on or after July 30, 2014. Surplus Lines Bulletin 14 (August 11, 2014).

District of Columbia	No	—	Not codified.
Florida(2)	No.	§ 626.938	Industrial exemption/not codified. Recognizes Independently Procured coverage.
Georgia(2)	1) Insurance procured through a full-time insurance manager, risk manager or	§33-41-2(5)	§33-5-20.1(1); Bulletin 11-EX-3 (September 12, 2011) Same as NRRA Subject to 4% tax (within 30 days). §33-5-33(a);

insurance buyer,
or through
licensed property
and casualty
agent, broker or
counselor;

2) Minimum
\$25,000
aggregate annual
premiums for
insurance on all
risks; and

3) Meets one of
the following
criteria:

a) Minimum 25
full-time
employees;

b) Minimum \$3
million gross
assets; or

c) Minimum \$5
million annual
gross revenues.

Subject to taxes
specific to
captives under
§33-41-22.

Bulletin 11-EX-3
(September 12, 2011).

No

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Hawaii

§431:8-102;
Memorandum 2011-4E
(October 18, 2011)
Same as NRRA
Subject to 4.68% tax

			(within 45 days after the end of the calendar quarter in which the insurance was procured, continued, or renewed). §431:8-205(b) and (c); Memorandum 2011-4E (October 18, 2011).
			§41-1213(5)(a) and (b); Bulletin 11-08 (November 28, 2011) Same as NRRA “Commercial insurance” defined as “property and casualty insurance pertaining to a business, profession, occupation, nonprofit organization or public entity.” §41-1213(5) (c). Subject to 1.5% tax for policies new and renewal policies with an effective date on or after July 1, 2011 (within 30 days after insurance procured, continued or renewed). § 41-1215; §41-1233(1) and (3); 41-1229(1).
Idaho	No	—	
Illinois(4)	1) Insurance (excluding life and annuity contracts)	215 ILCS 5/121-2.08 215 ILCS	215 ILCS 5/445(1) Same as NRRA

procured through 5/123C-1(F) is
a full-time a separate
employee who is and different
a qualified risk definition that
manager (as relates to
defined in the Illinois
NRRA) or a domestic
regularly and captives only)
continuously
retained
consultant who is
a qualified risk
manager.

2) Procured
directly from an
unauthorized
insurer without
the services of an
intermediary
insurance
producer.

3) Insured is an
exempt
commercial
purchaser (as
defined in the
NRRA) whose
home state (as
defined in the
NRRA) is Illinois.

4) Must file
policies (effective
1/1/15 or later)

within 90 days of
effective date,
and
endorsements
within 90 days of
issuance.

5) Must pay taxes
and filing fees
within 30 days of
filing. Tax is 3.5%
plus up to 1% fire
marshal tax on
property
(depending on
coverage). Filing
fee is 0.2% of
premium.

Indiana

1) Insurance §27-4-5-2(a) Not codified.
procured through (8)
a full-time
insurance
manager or buyer,
or regularly
retained and
continuously
qualified
insurance
consultant;
2) Minimum
\$25,000
aggregate annual
premiums for
insurance on all

risks;
3) Minimum 25 full-time employees; and
4) Remits a 2.5% tax on all gross premiums on semi-annual filing schedule.
January through June is due by August 1 and July through December is due by February 1.

Iowa	No	—	Not codified.
Kansas(2).	<u>Industrial Insured</u>	§40-4301(e)	§ 40-246i
	1) Insurance procured through a full-time insurance manager or buyer;		
	2) Minimum \$50,000 aggregate annual premiums for the kinds of insurance procured;		
	3) Minimum 25 full-time employees;		

4) Principal activity consists of the manufacture of a product or products; and

5) Minimum \$10,000 contributed to the capital or surplus of the industrial insured captive insurance company that insures its risks.

Exempt

Commercial

Purchaser

1) Employs or retains a qualified risk manager to negotiate insurance coverage;2)

Maintains paid aggregate nationwide commercial property and casualty insurance premiums in excess of \$100,000

annually; and3)
Possesses a net
worth in excess of
\$20,040,000;
generates annual
revenues in
excess of
\$55,100,000;
employs more
than 500 full-time
employees per
insured entity or is
a member of an
affiliated group
employing more
than 1,000
employees; is a
not-for-profit
organization or
public entity with
annual
expenditures of at
least
\$33,060,000; or is
a municipality with
a population in
excess of 50,000
persons.

Kentucky(7)	Industrial Insured §304.11-020(2)§ 304.10.030, § 1) Insurance (a) and (c) 304.10.040; Advisory (excluding life and §304.49- annuity contracts) 010(7) procured through	Opinion 2011-04 (June 3, 2011) includes an alternate definition of
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a full-time insurance manager or buyer, or regularly and continuously retained qualified insurance consultant; 2) Minimum \$25,000 aggregate annual premiums for insurance on all risks; 3) Minimum 25 full-time employees; and 4) Qualified as an industrial insured as of July 1, 1999. Exempt Commercial Policyholder. Employs the services of an insurance agent or broker, procures commercial insurance with the services of a full-time risk manager, or a licensed	806 KAR 11:010, § 1	ECP Same as NRRA. To the extent that a prospective insured meets either the KY or federal definition of an exempt commercial purchaser, KY's due diligence requirement is preempted. The definitions of an exempt commercial purchaser under NRRA and an exempt commercial policyholder under KY law differ slightly. If an insured meets the definition of an exempt commercial purchaser under NRRA, federal law will govern the multi-state non-admitted insurance transaction covering the exempt commercial policyholder. In this event, the surplus lines broker placing the coverage must comply with the taxation requirements applicable to other multi-state non-
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insurance
consultant, and:
1) Is a city, county,
or urban-county
with a minimum
population of
50,000 persons,
or the
Commonwealth of
Kentucky, or a
not-for-profit
organization or a
public entity with
a minimum
\$25,000,000
annual budget or
\$25,000,000 in
assets in the
preceding fiscal
year; or
2) Certifies that it
meets all four (4)
of the following
criteria:
(i) Minimum
\$25,000,000 net
worth at the time
the policy of
insurance is
issued;
(ii) Minimum
\$50,000,000 net
revenue or sales

admitted insurance
transactions.

in the preceding
fiscal year;
(iii) Minimum 100
employees per
individual
company or 200
employees per
holding company
aggregate at the
time the policy of
insurance is
issued; and
(iv) Minimum
\$500,000 in
annual aggregate
insurance
premiums in the
preceding fiscal
year.

Filing

Requirement. All
industrial insureds
and exempt
commercial
policyholders
must reapply to
the commissioner
of insurance for
their respective
insured status
every three years,
on a form the
commissioner of

insurance shall promulgate by administrative regulation.

Any industrial insured that filed an affidavit prior to July 1, 1999 which established it satisfied the then-existing criteria for obtaining that status must reapply for their status by filing with the commissioner of insurance an “Industrial Insured Affidavit” (Form II-1 P & C) for their approval, certifying that the requirements of §304.11-020(2)(a) continue to be satisfied.

Louisiana(5)	Meets at least one of the following requirements: 1) Insurance	§23:1161	Not codified. Definition in Bulletin 2011-01 is same as NRRRA.
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procured through
full-time insurance
manager or
buyer;
2) Minimum
\$25,000
aggregate annual
premium on all
risks; or
3) Minimum 25
employees.
Tax of 4.85%
(quarterly).
§22:439(B).

Maine(2)

1) Insurance
procured through
a full-time
insurance
manager or
buyer;
2) Minimum
\$25,000
aggregate annual
premium for
insurance on all
risks; and
3) Minimum 25
full-time
employees.
3% (quarterly).
Title 36, A
§2531(2) and (3).
§2113(3) was

§6701(6)

§ 2003(6); Bulletin 378
(June 17, 2011)
Same as NRRA.

repealed eff. July 21, 2011.

1) Insurance procured through a full-time insurance manager or buyer, or regularly and continuously retained qualified insurance consultant;

2) Minimum \$100,000 aggregate annual premiums for insurance on all risks; or

3) Minimum 25 full-time employees.

3% (semi-annually). §4-210; 4-211(b)(1).

§4-201(a)

§3-301(d); Bulletin 11-26 (September 1, 2011)
Same as NRRRA.

No.

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§ 175-168, § 175-224
Varies from NRRRA.
“Large Commercial Policyholder” is defined as an insured that has aggregate property and casualty insurance premiums of \$30,000 excluding workers’

Maryland

Massachusetts

compensation, certifies that it has elected to be treated as a Large Commercial Policyholder and meets two of the following criteria: (i) net worth of \$10 million, (ii) net revenue of sales of \$5 million, (iii) more than 25 employees per individual company or more than 50 employees per holding company aggregate; (iv) nonprofit or public entity with an annual budget or assets of \$25 million or more, (v) is a municipality with a population of 20,000 or more, or (vi) retains a risk manager who shall be a full-time employee or a person retained by the insured who shall either be (a) a certified insurance counselor, (b) a chartered property and casualty underwriter, (c) an associate in risk management, (d) a

certified risk manager or
(e) a licensed insurance
advisor in property and
casualty insurance.

Michigan(2)	1) Insurance procured through full-time insurance manager or buyer;		
	2) Minimum \$25,000 aggregate annual premiums for insurance on all risks; and 3) Minimum 25 full-time employees.	§500.4601(n)	Not codified.
Minnesota	No	—	§60A.196(e) Same as NRRRA.
Mississippi	No	—	§83-21-23; Bulletin 2011-1 (April 11, 2011) Same as NRRRA
Missouri	1) Insurance (excluding life, health and annuity contracts) procured through full-time insurance manager or buyer, or an insurance producer whose services are	§375.786(1)(8)	§384.015(5); Bulletin 11- 05 (July 21, 2011) Same as NRRRA

wholly
compensated by
such insured and
not by the insurer;
2) Minimum
\$100,000
aggregate annual
premiums for
insurance,
excluding
workers’
compensation
premiums; and
3) Minimum 25
full-time
employees.

1) Insurance
procured through
full-time insurance
manager or
buyer;
2) Minimum
\$25,000
aggregate annual
premiums for
insurance on all
risks; and
3) Minimum 25
full-time
employees.

Montana(2)

§33-28-101(17) §33-2-318
Same as NRRA

Nebraska

No. Repealed
when NRRA was —
enacted.

§44-5502(5)(a)
Same as NRRA.

Nevada(6)	1) Minimum \$1 million aggregate annual property and casualty premiums (not including workers' compensation or industrial insurance); and 2) Minimum 250 full-time employees.	§680A.070(9)	§ 685A.032, § 685A.040 Same as NRRA, except insured may satisfy a condition for exemption if it is a city whose population is over 25,000 or a county whose population is over 20,000.
New Hampshire	1) Insurance (excluding life and annuity contracts) procured through full-time insurance manager or buyer, or regularly and continuously retained qualified insurance consultant; 2) Minimum \$15,000 aggregate annual premiums for insurance on all risks; and 3) Minimum 25 full-time employees. 3% of gross	§406-B:16 VI	Not codified, same as NRRA.

premiums
charged. §406-
B:16(VI)(a)

(1) who procures
the insurance of a
risk by use of the
services of a full
time employee
acting as an
insurance
manager or
buyer;

(2) who has at
least 25 full time
employees; and
(3) whose
aggregate annual
premiums for
insurance on all
risks total at least
\$25,000.

Subject to taxes
specific to
captives under
§17:47B-12.

1) Insurance
procured through (5)
full-time risk or
insurance
manager, or
regularly and
continuously
qualified

§17:47B-1

§ 11:1-33.2, § 11:1-33.3
Same as NRRA.

New Jersey

New Mexico

§59A-15-2(B)

§59A-14-2(F)

Same as NRRA.

insurance
consultant;
2) Minimum
\$25,000
aggregate annual
premiums for
insurance on all
risks; and
3) Minimum 25
full-time
employees.
May be subject to
tax under § 7-40-1
et. seq.

New York(2)	1) Minimum \$100 million net worth; 2) Member of a holding company system having minimum \$100 million net worth; or 3) The metropolitan transportation authority and its statutory subsidiaries; or 4) A city with a population of one million or more. Subject to captive	§7002(e)	§2101(x)(2) Same as NRRA.
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franchise taxes
under §7012.

North Carolina	No	—	§58-21-16(b)(1) Same as NRRA.
North Dakota	1) Insurance (excluding life and annuity contracts) procured through full-time insurance manager or buyer, or regularly and continuously retained qualified insurance consultant; 2) Minimum \$25,000 aggregate annual premiums for insurance on all risks; and 3) Minimum 25 full-time employees.	§26.1-02- 05(9)	§26.1-44-01.1(3) Same as NRRA.
Ohio	No	—	§3905.331 Same as NRRA.
Oklahoma(8)	No	§6470.2 §4202	36 § 1106.1(B) Same as NRRA.
Oregon	No	—	§ 735.405(b) Same as NRRA, except the following standards are relaxed. (A) The person

possesses a net worth in excess of \$10 million, as such amount is adjusted pursuant to section 7 of this 2011 Act. [reduced from \$20 million](B) The person generates annual revenues in excess of \$20 million, as such amount is adjusted pursuant to section 7 of this 2011 Act. [reduced from \$50 million](C) The person employs more than 50 full-time or full-time equivalent employees for each insured or is a member of an affiliated group employing more than 100 employees in the aggregate. [Reduced from 500 and 1,000 respectively]

Pennsylvania	An “industrial insured” is an insured: 1) Who procures the insurance of any risk or risks by use of the services of a full-	40 P.S. § 46(e)(6)	40 P.S. § 991.1610 Same as NRRRA.
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time employee
acting as an
insurance
manager or buyer
or the services of
a regularly and
continuously
retained qualified
insurance
consultant;

2) Whose
aggregate annual
premiums for
insurance on all
risks total at least
\$25,000; and
3) Who has at
least 25 full-time
employees.

Subject to certain
limited
requirements, a
surplus lines
broker may place
coverage for an —
“exempt
commercial
purchaser” as
defined by the
NRRA.

26 L.P.R.A. § 1007a-1

Puerto Rico

**Rhode
Island(9)**

1) Insurance §27-16-1.2(a) § 27-3-38.
procured through (8)§27-43-1(6) Same as NRRA.
full-time insurance

manager or buyer,(Relates to
or regularly and Captives)
continuously
retained qualified
insurance
consultant;

2) Minimum
\$25,000
aggregate annual
premiums
(excluding
workers'
compensation
and group); and
3) Minimum 25
full-time
employees.

No information
regarding taxes.

1) Insurance
procured through
full-time insurance
manager or
buyer;

2) Minimum
\$25,000
aggregate annual
premiums; and
3) Minimum 25
full-time
employees.

Subject to taxes
specific to

captives under
§27-43.9

1) Insurance
procured through
full-time risk or
insurance
manager, or
regularly and
continuously
qualified
insurance
consultant;
2) Minimum
\$25,000
aggregate annual
premiums for
insurance on all
risks; and
3) Minimum 25
full-time
employees.

§38-25-150(8) § 38-45-10, § 38-45-90.
§38-90-10(16) Same as NRRA.

No

—

§ 58-24-68

South Dakota

Varies from NRRA. The
term “exempt
commercial
policyholder” means
any person who applies
for or procures any kind
of property casualty
insurance, except title or
workers’ compensation
insurance, through a risk
manager, and meets at

least two of the following qualifications.

(1) purchased the insurance with aggregate premiums in the sum of at least \$100,000 during the most recent calendar year;

(2) minimum \$10,000,000 net worth as reported in most recent financial statement, reviewed or audited by an independent certified public accountant;

(3) minimum \$10 million annual net revenues or net sales as reported in most recent financial statement, reviewed or audited by an independent certified public accountant;

(4) minimum 100 full-time employees, either individually or, if the policyholder is a member of an affiliated group, collectively with all members of the affiliated group;

(5) if a nonprofit organization, minimum \$2.5 million annual operating budget for most recent calendar or fiscal year, whichever applies;
(6) if a public entity, minimum \$10 million operating budget for most recent calendar or fiscal year, whichever applies; or
(7) if a municipality, minimum 20,000 population.

1) Insurance procured through full-time insurance manager or buyer;

2) Minimum

\$25,000

aggregate annual premiums for insurance on all risks; and

3) Minimum 25 full-time employees.

§56-2-105(7)

§ 56-14-102

§56-13-102(12) Same as NRRA.

Tennessee(9)

“Industrial

insured” means a person who

§ 981.0051, §

981.005, §

981.0033, §

Texas(11)

purchases 981.004
commercial Same as
insurance and, at NRRA.
the time of
placement:(1)
Employs or
retains a qualified
risk manager to
negotiate
insurance
coverage; and

(2) either:

(A) has paid aggregate
nationwide commercial
property and casualty
insurance premiums of
more than \$25,000 in the
immediately preceding 12
months; or

(B) employs at least 25 full-
time employees.

Utah(2)

1) Insurance §31A-37-
procured through 102(16)
full-time risk
manager or
insurance
manager, or
regularly and
continuously
qualified
insurance
consultant;
2) Minimum
\$25,000

Rule R590-171-3, Rule
R590-171-6.
Same as NRRA.

	aggregate annual premiums for insurance on all risks; and 3) Minimum 25 full-time employees.		
Vermont(9)	1) Insurance procured through full-time insurance manager or buyer; 2) Minimum \$25,000 aggregate annual premiums for insurance on all risks; and 3) Minimum 25 full-time employees.	T.8 §3368(a) (6) T.8 §6001(8)	T.8 § 5024; Definition not codified. However, Bulletin 163 references the federal definition as provided in 15 U.S.C. § 8206(5).
U.S. Virgin Islands(10)	No	—	Not codified.
Virginia(7)	1) Insurance procured through full-time insurance manager or buyer or regularly and continuously retained licensed insurance consultant; 2) Minimum	§38.2-1039(D) (5)	Not codified. However, Administrative Letter 2011-4 indicates that the Virginia General Assembly enacted House Bill 2286, which amended various provisions of the Surplus Lines and Insurance Law chapter (§§ 38.2-4800 et

\$100,000 aggregate annual premiums for insurance on all risks; (excluding life and annuity and accident and sickness);

3) Minimum 25 full-time employees; and

4) Minimum gross assets in excess of \$3 million or annual gross revenues in excess of \$5 million.

seq.) in accordance with provisions of NRRA effective as of July 1, 2011.

Washington	No	—	§ 48.15.010 Same as NRRA.
West Virginia(2)	1) Insurance procured through full-time insurance manager or buyer;	§33-31-1(11)	§ 33-12C-3(9f) Same as NRRA.
	2) Minimum \$25,000 aggregate annual premiums for insurance on all risks; and		
	3) Minimum 25		

full-time
employees.

Wisconsin	No	—	Not codified.
Wyoming	1) Insurance procured through full-time insurance manager or buyer, or regularly and continuously retained qualified insurance consultant; 2) Minimum \$25,000 aggregate annual premiums for insurance on all risks; and 3) Minimum 25 full-time employees.	§26-12-101	§ 26-11-104(c) Same as NRRA.

(1)The Alaska legislature added language to its surplus lines laws in 2009 to extend the commercial policyholder exemption for surplus lines.

(2)“Industrial Insured” exemption recognized with respect to captive insurers only.

(3)“Industrial Insured” exemption recognized with respect to nonadmitted insurers only.

(4)“Industrial Insured” exemption also recognized in limited instances with respect to captive insurers (i.e., directors’ and officers’ liability insurance and bankers’ blanket bonds).

(5)“Industrial Insured” exemption recognized with respect to workers’ compensation insurance only.

(6)“Industrial Insured” exemption is restricted to excess liability insurance in excess of \$25 million.

(7)“Industrial Insured” exemption only applies to an insured who filed an affidavit to the Executive Director of Insurance prior to July 1, 1999 establishing that it had satisfied the then existing criteria for obtaining that status.

(8)“Industrial Insured” exemption recognized with respect to life insurance only.

(9) "Industrial Insured" exemption also recognized with respect to captive insurers.

(10) "The Industrial Insured" exemption in USVI was repealed in 2008.

(11) "Industrial Insured" exemption in Texas only waives the diligent search requirement and only if (1) the agent placing the coverage discloses to the industrial insured that (A) comparable insurance may be available from the admitted market that is subject to more regulatory oversight than the surplus lines market; and (B) a policy purchased in the admitted market may provide greater protection than the surplus lines insurance policy; (2) the surplus lines company offering the coverage has a financial strength rating of A- or better from A.M. Best; and (3) after receiving the notice described in Subd. (1) above, the industrial insured requests in writing that the agent procure the insurance from or place the insurance with an eligible surplus lines insurer.

Contact Our Insurance + Reinsurance Team

CONTACT US

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